purchasing capacity of a big section of India. The expenditure on the heads of food subsidies went on increasing even after restructuring of the this PDS. There was a general criticism that these subsidies leak and do not reach the target population. In recent years, several measures were taken to stop the subsidies from going outside the target population, but things do not seem improving. The situation of leakage in the food subsidies through PDS may be seen via two studies, released recently–

(i) In 2001-02, 18.2 per cent of PDS rice and 67 per cent of wheat was diversted from the ration shops to the open market – it means over 40 per cent of all foodgrains with subsidies missed the poor masses (Reetika Khera, 211, as cited in the Eco. Survey 2010-11).

(ii) In 2004-05, there was an overall diversion of 55 per cent of the grain meant for the poor (Sikha Jha & Bharat Ramaswami, 2010, as cited by Economy Survey 2010-11).

No matter where the exact figure of leakage lies between 40-55 per cent, once legal rights to food is given using the PDS delivery system, it will double the offtake and food subsidies – increasing expenditure hugely, with no guarantee of a fool proof delivery! This is why the Unique Identification Number (Aadhar) is proposed to be used by the government so that the food subsidies are not diverted and become leakage-proof. The cash delivery will deburden the country of leakage of subsidies.

Q. 24 Write a short note on India's policy steps regarding harnessing the 'demographic dividend'.

Ans. There has been a marked decline in the dependency ratio (ratio of dependent to working age population) in India. The ratio fell down from 0.8 in 1991 to 0.73 in 2001 and is expected to further decline sharply to 0.59 by 2014. This decline sharply contrasts with the demographic trend in the industrialised countries and also in China, where the ratio is rising. It is projected that the proportion of population in the working age group (i.e., 15–64 years) in India will increase from 62.9 per cent (2006) to 68.4 per cent in 2026.

Low dependency ratio and a high proportion of the working population gives India a comparative cost advantage, and a progressively lower